

Aspeed Technology (5274.TWO)

More Upside in 4Q26 and Beyond

CITI'S TAKE

Thanks to better product mix and benefit from E-glass and substrate support, Aspeed's 2Q26 GM/OPM at 72%/54% beat ours and Street's estimates. Net profit of NT\$1.84bn (up 30% QoQ, 193% YoY) was also better than expected. With rising AST2700 in 2H26 and new product cycle of AST1040 in 1H27 and further price hike in the year end, we see more upside in 4Q26 and beyond. We view the company's previous 3Q26 guidance conservative and await more positive update.

- **New Product Cycle Momentum.** We see multiple growth drivers supporting Aspeed's next upcycle. Growth is expected to be driven by stronger AI data center and AI-related general server BMC demand, accelerating AI ASIC deployments with a major US AI customer, and rising AST2700 adoption. Management now expects AST2700 shipments to reach 10m units in 2027 from 1.2-1.5m units in 2026.
- **Gross Margin Outlook Remains Resilient.** 2Q26 GM of 72% was a strong beat vs. management's 67-68% guidance, reflecting successful pass-through of higher substrate and OSAT costs. We see upside to management's previous 3Q26 guidance of revenue at NT\$4.1-4.3bn and see GM remaining stable, supported by resilient customer demand.
- **Supply Chain Bottlenecks Continue to Ease.** Supply constraints at Aspeed are gradually improving as E-glass qualification is already complete. We also expect more back-end capacity support, providing additional back-end capacity. With solid demand outlook and better supply, together with better product mix, we expect upside to Aspeed's BMC revenue and shipments over the next two years. Maintaining Buy.

Buy

Price (05 Aug 26 15:00)	NT\$16,020.00
Target price	NT\$20,455.00
Expected share price return	27.7%
Expected dividend yield	0.5%
Expected total return	28.1%
Market Cap	NT\$666,159M US\$20,552M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Figure 1. Aspeed - 2Q26 earnings review

Consolidated financials (NT\$ mn)	2Q26			1Q26	QoQ	2Q25	YoY	2Q26	
	Actual	Citi est.	Diff (%)	Actual	(%)	Actual	(%)	Consensus	Diff (%)
Revenue	3,871	3,670	5%	3,147	23%	2,247	72%	3,797	2%
Gross profits	2,788	2,479	12%	2,177	28%	1,525	83%	2,606	7%
Operating profits	2,086	1,929	8%	1,659	26%	1,184	76%	2,062	1%
Pretax earnings	2,265	1,985	14%	1,768	28%	787	188%	2,101	8%
Net income	1,842	1,588	16%	1,414	30%	629	193%	1,694	9%
EPS (NT\$)	44.29	38.18	16%	34.01	30%	15.13	193%	41.34	7%
Margins (%)									
Gross margin	72.0%	67.5%	4.5%	69.2%	2.8%	67.9%	4.1%	68.6%	3.4%
Operating margin	53.9%	52.5%	1.3%	52.7%	1.2%	52.7%	1.2%	54.3%	-0.4%
Net margin	47.6%	43.3%	4.3%	44.9%	2.6%	28.0%	19.6%	44.6%	3.0%

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Source: Company Reports, Citi Research Estimates, Bloomberg consensus

Aspeed Technology

Valuation

We value Aspeed at NT\$20,455 based on a historical mid-cycle multiple (since 2020) of 50x 2028E EPS, as we believe it fairly reflects the company's earnings performance and industry dynamics, secular growth trends, and Aspeed's strong supply chain position, as well as robust earnings growth amid margin expansions.

Risks

Our quant rating system rates the Aspeed stock High Risk based on its volatility over the past year, which we think is unwarranted given the company's dominance and outlook in the BMC sector. Key downside risks to our earnings forecasts and target price include: 1) weaker-than-expected growth in servers; 2) slower-than-expected CPU platform migration; 3) peer competition; and 4) limited progress in product diversification.

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Appendix A-1

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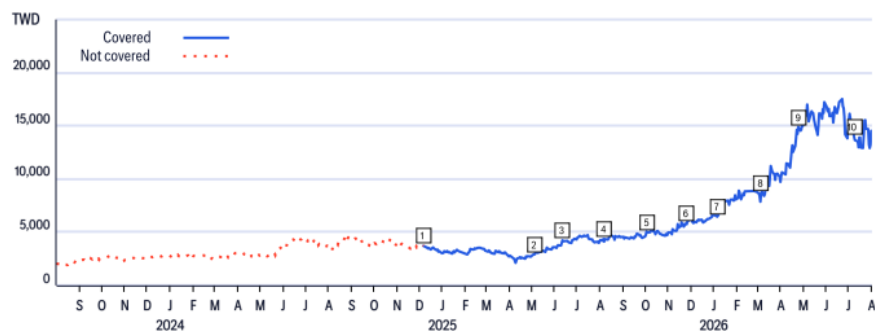
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Aspeed Technology (5274.TWO)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	06-Dec-24 08:12:52	*1	*5,454.55	3,709.09
2	05-May-25 09:17:14	1	*4,363.64	2,936.36
3	11-Jun-25 05:58:45	1	*5,090.91	4,236.36
4	05-Aug-25 09:52:42	1	*5,340.91	4,363.64

	Date	Rating	Target Price	Closing Price
5	05-Oct-25 14:28:21	1	*6,136.36	4,963.64
6	24-Nov-25 11:34:17	1	*6,704.55	5,822.73
7	05-Jan-26 03:43:52	1	*7,486.36	6,459.09
8	05-Mar-26 09:02:05	1	*12,045.46	8,654.55

	Date	Rating	Target Price	Closing Price
9	26-Apr-26 21:10:44	1	*20,454.55	14,881.82
10	08-Jul-26 00:01:36	1	*20,455.00	13,975.00

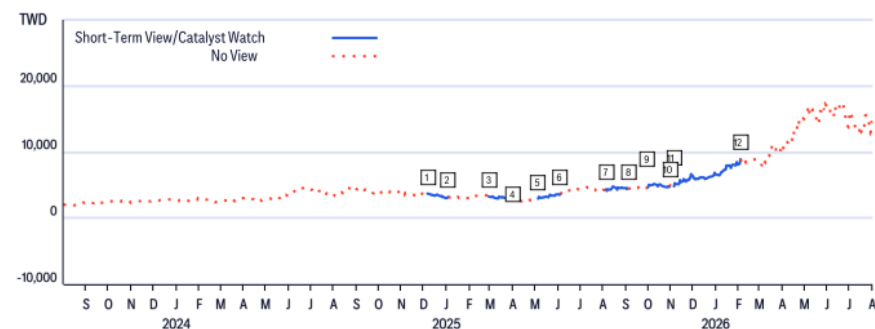
*Indicates Change

Rating/target price changes above reflect Eastern Time

Aspeed Technology (5274.TWO)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Dec-24 03:12:52	Add STV	Upside	30 Days	3,709.09
2	05-Jan-25 20:28:12	Remove STV	Upside	30 Days	3,209.09
3	02-Mar-25 11:36:08	Add STV	Upside	30 Days	3,263.64
4	01-Apr-25 22:14:16	Remove STV	Upside	30 Days	2,795.45

	Date	Action	Expected Direction	Duration	Closing Price
5	05-May-25 05:17:14	Add STV	Upside	30 Days	2,936.36
6	04-Jun-25 22:24:32	Remove STV	Upside	30 Days	3,659.09
7	05-Aug-25 05:52:42	Add STV	Upside	30 Days	4,363.64
8	04-Sep-25 22:02:09	Remove STV	Upside	30 Days	4,486.36

	Date	Action	Expected Direction	Duration	Closing Price
9	30-Sep-25 12:56:21	Add STV	Upside	30 Days	4,590.91
10	30-Oct-25 22:18:17	Remove STV	Upside	30 Days	4,736.36
11	05-Nov-25 04:18:31	Add STV	Upside	90 Days	4,804.55
12	03-Feb-26 20:27:44	Remove STV	Upside	90 Days	8,900.00

CW - Catalyst Watch, STV - Short-Term View

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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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